

Economics 11–12 (2025)

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Economics 11–12 (2025)

Implementation from 2027

The new Economics 11–12 Syllabus (2025) is to be implemented from 2027 and will replace the [Economics Stage 6 Syllabus \(2009\)](#).

2026

- Plan and prepare to teach the new syllabus

2027, Term 1

- Start teaching the new syllabus for Year 11
- Start implementing new Year 11 school-based assessment requirements
- Continue to teach the [Economics Stage 6 Syllabus \(2009\)](#) for Year 12

2027, Term 4

- Start teaching the new syllabus for Year 12
- Start implementing new Year 12 school-based assessment requirements

2028

- First HSC examination for the new syllabus

Overview

Syllabus overview

Through [collaborative curriculum planning](#), it may be decided that [Life Skills outcomes and content](#) are the most appropriate option for some students with intellectual disability.

Organisation of Economics 11–12

The *Economics 11–12 Syllabus* has an overarching emphasis on microeconomics in the Year 11 course, beginning with a study of the foundation principles and models of the discipline, followed by extensive learning of demand and supply in Markets, with the Household and business sector, Financial sector, Government sector, and International sector arranged around the circular flow of income model. The Year 12 course has a primary focus on macroeconomics through the study of Economic issues in the Australian economy, Economic management of the Australian economy, and Australia and the global economy. The structure of the course provides students with opportunities to apply their knowledge of economic principles to a range of real-world contexts.

Figure 1 shows the organisation of Economics 11–12.

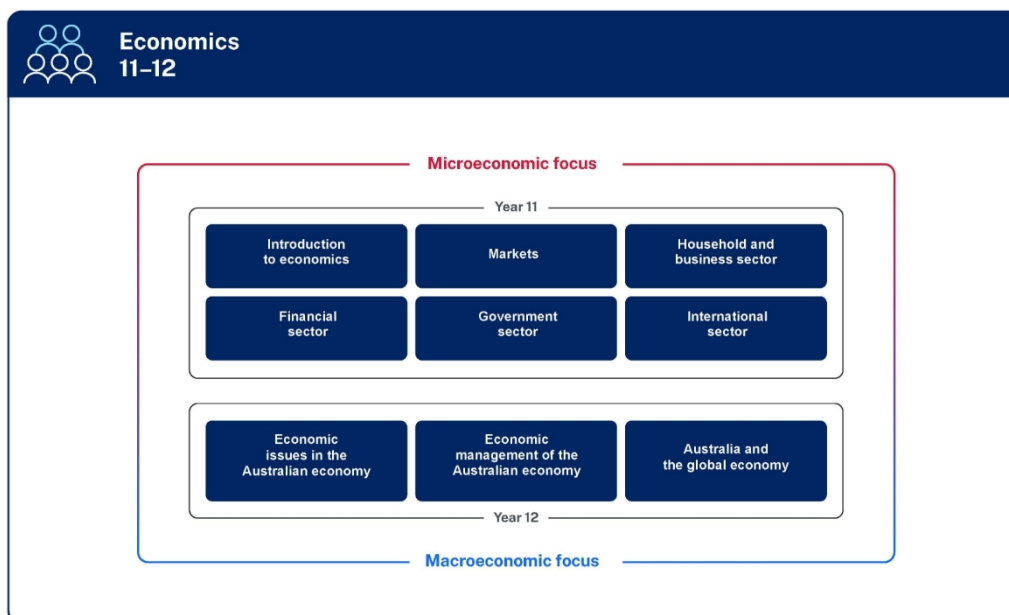


Figure 1: The organisation of Economics 11–12

Image long description: There are 9 rectangular boxes labelled with text to represent 6 focus areas for Year 11 and 3 focus areas for Year 12. The focus areas for Year 11 are: Introduction to economics; Markets; Household and business sector; Financial sector; Government sector; and International sector. The focus areas for Year 12 are: Economic issues in the Australian economy; Economic management of the Australian economy; and Australia and the global economy. A line wraps around all the boxes with text stating that the Year 11 course has a 'Microeconomic focus' and the Year 12 course has a 'Macroeconomic focus'.

Protocols for collaborating with Aboriginal and Torres Strait Islander Communities

NESA is committed to working in partnership with Aboriginal Communities and supporting teachers, schools and schooling sectors to improve educational outcomes for young people.

It is important to respect appropriate ways of interacting with Aboriginal Communities and Cultural material when teachers plan, program and implement learning experiences that focus on Aboriginal and Torres Strait Islander Priorities.

Indigenous Cultural and Intellectual Property (ICIP) protocols need to be followed. Aboriginal and Torres Strait Islander Peoples' ICIP protocols include Cultural Knowledges, Cultural Expression and Cultural Property and documentation of Aboriginal and Torres Strait Islander Peoples' identities and lived experiences. It is important to recognise the diversity and complexity of different Cultural groups in NSW, as protocols may differ between local Aboriginal Communities.

Teachers should work in partnership with Elders, parents, Community members, Cultural Knowledge Holders, or a local, regional or state Aboriginal Education Consultative Group. It is important to respect Elders and the roles of men and women. Local Aboriginal Peoples should be invited to share their Cultural Knowledges with students and staff when engaging with Aboriginal histories and Cultural Practices.

Course description

The Economics 11–12 course equips students with the knowledge to understand how households, businesses and governments make choices about the allocation of resources and their effect on the consumption, production and distribution of goods and services in an economy. The course provides opportunities for students to apply their knowledge of economics to analyse real-world problems and solutions that influence the efficiency, equity and wellbeing of a society.

What students learn

Through the study of Economics 11–12, students develop:

- an understanding of the fundamental principles of economics involved in making decisions in the allocation of scarce resources
- an understanding of the key economic questions that a society must address in producing, distributing and consuming goods and services, the role of different economic agents in these processes and the interdependence of each sector of the economy
- skills in analysis and evaluation to identify the causes and consequences of economic issues, make informed judgements about the effectiveness of government policies and propose solutions to remedy problems in real and hypothetical situations
- skills to effectively communicate data-supported economic ideas and information.

Course structure and requirements

Year 11 course structure and requirements

The Year 11 Economics course comprises a study of:

- 120 indicative hours across 6 focus areas.

The course comprises 6 focus areas. Students are required to study all 6 focus areas.

Year 11 focus areas	Indicative hours
Introduction to economics	25
Markets	35
Household and business sector	15
Financial sector	15
Government sector	15
International sector	15

Year 12 course structure and requirements

The Year 12 Economics course comprises a study of:

- 120 indicative hours across 3 focus areas.

The course comprises 3 focus areas. Students are required to study all 3 focus areas of the course.

Year 12 focus areas	Indicative hours
Economic issues in the Australian economy	45
Economic management of the Australian economy	45
Australia and the global economy	30

Safety and risk management

Schools are required to ensure they follow [safety and risk management](#) in delivering the *Economics 11–12 Syllabus*.

Course enrolment details

Economics Year 11

- Course number: 11110
- Course hours: 120
- Course units: 2
- Enrolment type: Elective
- Endorsement type: Board developed

Exclusions

- Business and Economics Life Skills (Year 11, 2 units): 17560
- Human Society and its Environment Life Skills (Year 11, 2 units)*: 16699

*Where Business and Economics Life Skills is undertaken in the course.

Prerequisites

- Nil

Corequisites

- Nil

Economics Year 12

- Course number: 15110
- Course hours: 120
- Course units: 2
- Enrolment type: Elective
- Endorsement type: Board developed

Exclusions

- Business and Economics Life Skills (Year 12, 2 units): 17560
- Human Society and its Environment Life Skills (Year 12, 2 units)*: 16699

*Where Business and Economics Life Skills is undertaken in the course.

Prerequisites

- Economics (Year 11, 2 units): 11110

Corequisites

- Nil

HSC information

Information about [curriculum requirements](#) for the HSC are available on [Assessment Certification Examination \(ACE\)](#).

Rationale

Economics is the study of how limited natural and human resources are allocated to satisfy the wants of individuals and society. The allocation of resources to meet these wants involves choice, and economics investigates the factors that inform these decisions. Economics explores human behaviour and responses to incentives and disincentives. Economics also examines the opportunity costs and other trade-offs that exist for any decision and the costs and benefits associated with different courses of action.

Economics enables students to explore and understand the ongoing economic systems of Aboriginal and Torres Strait Islander Peoples that are based on sustainability, reciprocity and Community resource management. Students build their knowledge of Aboriginal and Torres Strait Islander Peoples' economies, their interaction with markets, sustainable economic practices, and economic self-determination.

Economic transactions are fundamental to modern society. The production, consumption and exchange of goods and services occurs constantly in the pursuit of material needs and wants. In a world where interaction with the economy is essential, knowledge of economic principles is invaluable. The discipline of economics offers a framework to interpret economic conditions and events and to comprehend their effects on individuals, businesses, institutions, governments and economies.

The study of Economics equips students with models and practical tools to understand the consumer, business and financial environments in which they live, work, spend, save and invest and the skills to make informed economic decisions. It builds awareness of the importance of government spending and taxation to fund the institutions, infrastructure and services that underpin the functioning and stability of Australia's economic system and maintain high standards of living.

The *Economics 11–12 Syllabus* provides opportunities for students to engage with economic, political, social and environmental issues and policies, preparing them to contribute to public discourse as informed and responsible citizens. The syllabus provides pathways to further education and careers across economics, business, policy development and implementation, the media and communications.

Aim

Economics 11–12 aims to develop students' knowledge and understanding of the fundamental concepts and principles that govern modern economic systems. Students develop economic literacy skills that are critical to making ethical and informed financial, political, social and environmental decisions.

Table of outcomes

The *Business and Economics Life Skills 11–12 Syllabus* and its outcomes are being developed alongside the *Business Studies 11–12 Syllabus*.

Year 11	Year 12
ECO-11-01 uses economic terms, concepts and principles in a range of contexts	ECO-12-01 applies economic terms, concepts and principles in a range of contexts
ECO-11-02 explains the economic role of individuals, businesses, institutions and government	ECO-12-02 analyses the economic role of individuals, businesses, institutions and government
ECO-11-03 explains the role and operation of markets in the Australian and global economy	ECO-12-03 explains the role and effects of markets in the Australian and global economy
ECO-11-04 explains the causes of economic issues and their consequences for individuals, businesses, government and the economy	ECO-12-04 analyses the causes of economic issues and their consequences for individuals, businesses, government and the economy
ECO-11-05 discusses the perspectives of individuals, businesses, institutions and government on a range of economic issues	ECO-12-05 assesses the perspectives of individuals, businesses, institutions and government on a range of economic issues
ECO-11-06 explains how policies are used to manage the economy	ECO-12-06 evaluates the effectiveness of economic policies used to manage issues in the Australian and global economy
ECO-11-07 discusses policy measures to address economic issues in actual or hypothetical contexts	ECO-12-07 proposes and justifies policy measures to address economic issues in actual or hypothetical contexts
ECO-11-08 analyses data for patterns and relationships to support economic arguments and decision-making	ECO-12-08 analyses data for patterns and relationships to make predictions and support economic arguments and decision-making
ECO-11-09 applies mathematical concepts, formulas and techniques in economic contexts	ECO-12-09 applies mathematical concepts, formulas and techniques in economic contexts
ECO-11-10 communicates economic ideas and information in a range of forms appropriate to purpose and audience	ECO-12-10 communicates economic ideas, perspectives and information in a range of forms appropriate to purpose and audience

Outcomes and content for Year 11

Introduction to economics

Outcomes

A student:

- uses economic terms, concepts and principles in a range of contexts **ECO-11-01**
- explains the economic role of individuals, businesses, institutions and government **ECO-11-02**
- explains the causes of economic issues and their consequences for individuals, businesses, government and the economy **ECO-11-04**
- applies mathematical concepts, formulas and techniques in economic contexts **ECO-11-09**
- communicates economic ideas and information in a range of forms appropriate to purpose and audience **ECO-11-10**

Content

Economic thinking

- What is an economy and what is economics?
- The [economic problem](#), including wants, resources and scarcity, and economic decision-making as the choice between alternatives
- [Economic agents](#) responsible for economic decision-making, including consumers, producers and government
- [Opportunity cost](#) and other [trade-offs](#) in economic decision-making
- Cost–benefit principle in economic decision-making, including marginal costs and benefits, and short-term versus long-term factors
- Incentives and disincentives in economic decision-making, including intended and unintended consequences
- Role of data in economic decision-making, including informing public policy, monitoring economic performance and forecasting
- Role of models in economic decision-making, including the key assumptions of [economic models](#)
- Challenge of behavioural economics to conventional assumptions of rational behaviour and self-interest in economic decision-making, including cognitive biases and ethical considerations
- Relationship between [microeconomics](#) and [macroeconomics](#)
- Contribution of economics to understanding and solving real-world problems

Operation of an economy

- Factors of production, including natural resources (land), labour, [capital](#) and entrepreneurship
- Factor incomes, specifically rent, wages, interest and profit
- Key questions for any economy, including ‘What to produce?’, ‘How to produce?’, ‘How much to produce?’, ‘How to distribute production?’
- How the key questions for any economy are addressed in different [economic systems](#), including pre-industrial, planned, free market and mixed [market economies](#)
- Importance of money to the operation of an economy, including its forms and functions

Economic model: production possibilities

- Production possibilities model and opportunity cost, including production possibilities frontiers (PPF) and production possibilities schedules

- Interpret PPFs and production possibilities schedules, including shifts of the frontier
- Assumptions of the production possibilities model
- Identify opportunity costs from PPFs and production possibilities schedules
- Economic efficiency and reasons for an economy operating on, inside or outside its PPF, including [underemployment](#) of resources and technological advances
- Opportunity costs of producing consumer and capital goods

Economic model: circular flow of income

- Roles of the household, business, financial, government and international sectors in the [circular flow of income](#) model
- Income flows into the economy (injections) and out of the economy (leakages) from different sectors via investment (I), government spending (G), exports (X), savings (S), taxation (T) and imports (M)
- Interpret circular flow of income diagrams
- Identify equilibrium and disequilibrium positions in an economy using the formula

$$S + T + M = I + G + X$$
- Effects of change to injections and leakages on the circular flow of income model and the overall economy

Economic model: business cycle

- [Gross domestic product \(GDP\)](#), including contributions of the [private](#) and public sectors
- Reasons economies pursue higher GDP
- Contributions of Aboriginal and Torres Strait Islander businesses to GDP
- Stages of the [business cycle](#), including expansion/upturn, contraction/downturn, peak, trough
- Relationship between stages of the business cycle and economic conditions, including unemployment and [inflation](#)
- Reasons for fluctuations in the business cycle
- Effects of business cycle fluctuations on households, businesses and government

Markets

Outcomes

A student:

- uses economic terms, concepts and principles in a range of contexts **ECO-11-01**
- explains the economic role of individuals, businesses, institutions and government **ECO-11-02**
- explains the role and operation of markets in the Australian and global economy **ECO-11-03**
- explains the causes of economic issues and their consequences for individuals, businesses, government and the economy **ECO-11-04**
- discusses the perspectives of individuals, businesses, institutions and government on a range of economic issues **ECO-11-05**
- discusses policy measures to address economic issues in actual or hypothetical contexts **ECO-11-07**
- analyses data for patterns and relationships to support economic arguments and decision-making **ECO-11-08**
- applies mathematical concepts, formulas and techniques in economic contexts **ECO-11-09**
- communicates economic ideas and information in a range of forms appropriate to purpose and audience **ECO-11-10**

Content

Role of markets

- Role of the [price mechanism](#) in a [market economy](#), including the signalling, incentive and rationing functions of relative prices
- Contribution of self-interest and institutions to the functioning of markets, including the rule of law and enforcement of property rights and contracts
- Relationship between [factor markets](#) and [product markets](#)

Demand

- Effective individual [demand](#) and market demand
- Law of demand and the corresponding negatively sloping demand curve
- Movements along the demand curve, specifically expansions and contractions of demand for a good or service due to a change in price
- Movements (shifts) of the demand curve, including increases and decreases in demand for a good or service due to changes in non-price factors involving income, population, tastes, prices of substitutes and complements, and expected future prices
- Construct and interpret demand schedules and graphs

Supply

- Effective individual and market [supply](#)
- Law of supply and corresponding positively sloping supply curve
- Movements along the supply curve, specifically expansions and contractions of supply for a good or service due to a change in price
- Movements (shifts) of the supply curve, including increases and decreases of supply for a good or service due to changes in non-price factors involving the cost of factors of production, expected future prices, number of suppliers, and technology
- Construct and interpret supply schedules and graphs

Market equilibrium

- Effects of changes in demand and supply on equilibrium market price and equilibrium quantity
- Construct and interpret demand and supply graphs that demonstrate changes to market equilibrium
- Contribution of market equilibrium and market outcomes to efficiency

Price elasticity of demand

- Degrees of [price elasticity of demand](#), including perfectly elastic, relatively elastic, unitary elastic, relatively inelastic and perfectly inelastic
- Interpret demand graphs for price elasticity of demand
- Calculate price elasticity of demand using the percentage method formula

$$\frac{\text{Percentage change in quantity demanded}}{\text{Percentage change in price}}$$

- Factors affecting price elasticity of demand, including degree of necessity, closeness and number of available substitutes, proportion of income spent on an item, time horizon and addictiveness of the item
- Significance of price elasticity of demand for businesses in terms of pricing, product differentiation and output

Price elasticity of supply

- Degrees of [price elasticity of supply](#), including perfectly elastic, relatively elastic, unitary elastic, relatively inelastic and perfectly inelastic
- Interpret supply graphs for price elasticity of supply
- Factors affecting price elasticity of supply, including time horizon, excess capacity, durability of goods and factor mobility
- Significance of price elasticity of supply for businesses

Market structures and competition for sellers

- Role of competition in markets and degrees of competition
- Characteristics of [perfect competition](#), [monopolistic competition](#), [oligopolies](#) and [monopolies](#), including number of businesses, types of goods and services, barriers to entry and pricing power
- Economic implications of increases in the level of [market concentration](#) on the price, quantity and quality of goods and services, and the innovation and profit of businesses
- Effects of technological innovation and the digital economy on market power, including [first-mover advantage](#) and [network effects](#) associated with digital platforms

Nature and types of market failure

- Limitations of the price mechanism in achieving economic and social objectives
- Challenges faced by Aboriginal and Torres Strait Islander businesses in accessing [capital](#) and markets
- Features of positive [externalities](#) and negative externalities from consumption and production in relation to [market failure](#), including marginal [private costs](#) and [benefits](#), marginal [social costs](#) and [benefits](#), property rights, [common-pool resources](#), [merit goods](#) and [demerit goods](#)
- Interpret demand and supply graphs that demonstrate negative externalities from production and positive externalities from consumption
- Features of [public goods](#) in relation to [market failure](#), including non-excludability, non-rivalry, and the free rider problem
- Features of market power abuse in relation to market failure, including predatory pricing and collusion

- Features of [asymmetric information](#) in relation to market failure, including lack of disclosure and [adverse selection](#)
- Features of income and wealth inequality in relation to market failure, including social exclusion

Government intervention in market failures

- Rationale for government intervention to address market failure
- Forms and features of government policy interventions to correct market failure, including taxes, [subsidies](#), direct provision of goods, regulations, price controls ([binding ceiling](#) and [floor prices](#)), quantity controls ([quotas](#)) and [nudges](#)
- Interpret demand and supply graphs that demonstrate the effects of taxes and price controls
- Limitations of government intervention into market failure
- [Government failure](#), including unintended consequences of policy interventions and [rent-seeking behaviour](#)

Household and business sector

Outcomes

A student:

- uses economic terms, concepts and principles in a range of contexts **ECO-11-01**
- explains the economic role of individuals, businesses, institutions and government **ECO-11-02**
- explains the role and operation of markets in the Australian and global economy **ECO-11-03**
- explains the causes of economic issues and their consequences for individuals, businesses, government and the economy **ECO-11-04**
- discusses the perspectives of individuals, businesses, institutions and government on a range of economic issues **ECO-11-05**
- analyses data for patterns and relationships to support economic arguments and decision-making **ECO-11-08**
- communicates economic ideas and information in a range of forms appropriate to purpose and audience **ECO-11-10**

Content

Households: the consumption of goods and services

- Role of households in the economy
- Consumers as utility-maximising agents, including choices at the margin and the [law of diminishing marginal utility](#)
- Consumers as socially and ethically motivated agents, including the influence of collective values, [culture](#) and social norms
- Relationship between consumption, savings and income, including the [marginal propensity to consume](#) (MPC), [marginal propensity to save](#) (MPS), and $MPC + MPS = 1$
- Determine the marginal propensity to consume $\left(\frac{\Delta C}{\Delta Y}\right)$
- Savings as deferred consumption, [dissaving](#) and the [paradox of thrift](#)
- Role of [consumer sovereignty](#) and factors that challenge its functioning, including marketing and behavioural [sludges](#)
- Effect of changes in income on types of consumption, including expenditure on [normal goods](#), [inferior goods](#) and [Veblen goods](#)
- Contribution of consumption and income to wellbeing

Households: the provision of labour

- Factors affecting [supply](#) of labour from households, including wage and [non-wage benefits](#), working conditions, population, workforce participation, education, training and skills, [occupational](#) and [geographic mobility of labour](#)
- Disincentives to participation in the workforce, including workplace inflexibility and culture, inadequate leave entitlements, and affordability and availability of care

Businesses: production of goods and services

- Role of businesses in the economy
- Producers as profit-maximising agents, including the differences between [economic profit](#) and accounting profit
- Classification of businesses, including [public enterprises](#), private enterprises and industries
- Relationship between production and [productivity](#), and the importance of productivity to profitability and living standards

- Factors affecting the productivity of businesses, including technological innovation, [capital deepening](#), worker skills, internal and external economies and diseconomies of scale
- Interpret long-run average cost (LRAC) curves that model economies and diseconomies of scale, including the technical optimum

Businesses: the provision of income

- Income earned by labour, including wage benefits, non-wage benefits and the role of the minimum wage
- Arguments for and against the equitable distribution of income from work
- Factors affecting [demand](#) for labour by businesses, including total output, relative cost of labour and [capital](#), artificial intelligence (AI) and automation, profitability of businesses and government policy

Financial sector

Outcomes

A student:

- uses economic terms, concepts and principles in a range of contexts **ECO-11-01**
- explains the economic role of individuals, businesses, institutions and government **ECO-11-02**
- explains the role and operation of markets in the Australian and global economy **ECO-11-03**
- explains the causes of economic issues and their consequences for individuals, businesses, government and the economy **ECO-11-04**
- discusses the perspectives of individuals, businesses, institutions and government on a range of economic issues **ECO-11-05**
- analyses data for patterns and relationships to support economic arguments and decision-making **ECO-11-08**
- applies mathematical concepts, formulas and techniques in economic contexts **ECO-11-09**
- communicates economic ideas and information in a range of forms appropriate to purpose and audience **ECO-11-10**

Content

Role of financial sector

- Role of financial sector in the economy, including facilitating savings and investment
- Types of [financial intermediaries](#), including banks, insurers, fund managers and the [central bank](#)
- Role of superannuation in the Australian economy as a source of savings and investment

Types of financial markets: equity markets

- Characteristics of [equity markets](#)
- Primary and secondary share markets, including their functions and effects on the economy

Types of financial markets: debt markets

- Characteristics of [debt markets](#)
- Primary and secondary bond markets, including their functions and effects on the economy
- Role of interest rates in the economy, including the price of money, the cost of credit, the return on savings, and as an indicator of risk
- Factors affecting the [demand](#) for funds, including consumer and business confidence, investment opportunities and government policies
- Factors affecting the [supply](#) of funds, including domestic savings, alternative investment opportunities, foreign investment and government policies
- Interpret a loanable funds graph to demonstrate the effect of changes in demand for funds and supply of funds on the rate of interest
- Effects of interest rate changes on housing affordability

Government sector

Outcomes

A student:

- uses economic terms, concepts and principles in a range of contexts **ECO-11-01**
- explains the economic role of individuals, businesses, institutions and government **ECO-11-02**
- explains the causes of economic issues and their consequences for individuals, businesses, government and the economy **ECO-11-04**
- discusses the perspectives of individuals, businesses, institutions and government on a range of economic issues **ECO-11-05**
- explains how policies are used to manage the economy **ECO-11-06**
- discusses policy measures to address economic issues in actual or hypothetical contexts **ECO-11-07**
- analyses data for patterns and relationships to support economic arguments and decision-making **ECO-11-08**
- communicates economic ideas and information in a range of forms appropriate to purpose and audience **ECO-11-10**

Content

Role of government

- Role of government in the economy, including redistribution, reallocation, stabilisation and correction of [market failure](#)
- Role of Aboriginal and Torres Strait Islander advisory bodies in shaping government policy for economic outcomes
- Governments as social welfare-maximising agents, including improving quality of life
- Features of the Australian federal Budget and tax-transfer system
- Regulation as a government tool to manage the economy and minimise, mitigate or eliminate harm
- Government use of [nudges](#) and incentives to alter the economic behaviour of households and businesses
- Arguments for and against the [privatisation](#) and [nationalisation](#) of businesses

Taxation

- Purposes of taxation for the economy and society
- Major sources of Australian Government revenue
- Features of the tax base, including income, wealth and consumption
- Types of taxation, including personal income, profit, sales taxes and [excise duty](#)
- Characteristics and types of direct and indirect taxes, including the economic and legal [incidence of tax](#)
- Features of a good tax, including simplicity, fairness and efficiency
- Rationale for reform of the Australian taxation system

Government spending

- Purpose of recurrent and non-recurrent government spending, including transfer payments, essential services and infrastructure
- Major areas of Australian Government expenditure
- Rationale for reform of Australian Government spending

International sector

Outcomes

A student:

- uses economic terms, concepts and principles in a range of contexts **ECO-11-01**
- explains the economic role of individuals, businesses, institutions and government **ECO-11-02**
- explains the role and operation of markets in the Australian and global economy **ECO-11-03**
- discusses the perspectives of individuals, businesses, institutions and government on a range of economic issues **ECO-11-05**
- analyses data for patterns and relationships to support economic arguments and decision-making **ECO-11-08**
- applies mathematical concepts, formulas and techniques in economic contexts **ECO-11-09**
- communicates economic ideas and information in a range of forms appropriate to purpose and audience **ECO-11-10**

Content

International trade

- Role and basis of international trade in the economy, including voluntary exchange for mutual benefit and the efficient allocation of resources
- Value, direction and composition of Australia's international trade
- Features of Aboriginal and Torres Strait Islander trade, including major exports and historical international trade routes
- Identify trade outcomes, including balanced, surplus and deficit

International investment

- Features of international investment flows, including foreign debt and foreign equity
- Value, direction and composition of Australia's international investment

Exchange rates

- Role of [exchange rates](#) in facilitating international trade and investment flows
- Measurement of the relative value of the Australian dollar using bilateral exchange rates

Balance of payments

- Purpose of the [balance of payments](#) as a record of international economic transactions

Outcomes and content for Year 12

Economic issues in the Australian economy

Outcomes

A student:

- applies economic terms, concepts and principles in a range of contexts **ECO-12-01**
- analyses the economic role of individuals, businesses, institutions and government **ECO-12-02**
- explains the role and effects of markets in the Australian and global economy **ECO-12-03**
- analyses the causes of economic issues and their consequences for individuals, businesses, government and the economy **ECO-12-04**
- assesses the perspectives of individuals, businesses, institutions and government on a range of economic issues **ECO-12-05**
- analyses data for patterns and relationships to make predictions and support economic arguments and decision-making **ECO-12-08**
- applies mathematical concepts, formulas and techniques in economic contexts **ECO-12-09**
- communicates economic ideas, perspectives and information in a range of forms appropriate to purpose and audience **ECO-12-10**

Content

Economic growth

- Distinction between nominal [GDP](#) and real GDP
- Calculate real GDP using the formula $\text{nominal GDP} \times \frac{\text{CPI base}}{\text{CPI current}}$
- Relationship between GDP and [economic growth](#) $\left(\frac{\text{real GDP current} - \text{real GDP previous}}{\text{real GDP previous}} \times 100 \right)$
- Limitations of GDP as a measurement, specifically the exclusion of population, hours worked, the [informal economy](#), the [non-market sector](#), distribution of income, environmental degradation and depletion of the resource base
- Types of economic decline, including negative economic growth, [technical recession](#), [per capita recession](#) and depression
- Factors influencing the components of aggregate [demand](#) ($AD = C + I + G + X - M$), including consumption (C), investment (I), government spending (G) and net exports ($X - M$)
- Effect of changes in the [terms of trade](#) $\left(\frac{\text{export price index}}{\text{import price index}} \times 100 \right)$ on net exports and aggregate demand
- Effects of changes in aggregate expenditure (AE) on [national income](#) (Y) through the [multiplier effect](#)
- Calculate and interpret the simple expenditure multiplier (k) using the formula $k = \frac{1}{1 - \text{MPC}}$ and its effect on national income using the formula $\Delta Y = k \times \Delta AE$
- Factors influencing the components of aggregate [supply](#), including [productivity](#), quality and quantity of inputs
- Identify an equilibrium position for an economy from leakages and injections using the formula $S + T + M = I + G + X$
- Relationship between [actual output](#) and [potential output](#)
- Construct and interpret aggregate demand and aggregate supply (AD-AS) graphs to demonstrate changes in GDP

- Effects of economic growth and economic decline on households, businesses and the government
- Reasons for trends in economic growth in Australia
- Interpret and analyse economic growth data through tables, time series line graphs, column charts and bar charts

Employment and unemployment

- Composition of the labour force, including employed and unemployed persons, [part-time](#) and [full-time workers](#)
- Factors affecting labour force participation in Australia, including cyclical and structural influences
- Calculate and interpret the rate of labour force participation using the formula

$$\frac{\text{labour force}}{\text{working-age population}} \times 100$$
- Economic implications of demographic shifts and changes to Australia's [dependency ratio](#), including possible effects on economic growth, government revenue and expenditure, immigration and retirement age
- Types of unemployment, including [cyclical](#), [structural](#) and [frictional](#)
- Causes of unemployment and [underemployment](#), including insufficient aggregate demand, structural changes, technological changes, [labour market frictions](#)
- Calculate and interpret the rate of unemployment using the formula $\frac{\text{unemployed}}{\text{labour force}} \times 100$
- Limitations of measuring the rate of unemployment, including [hidden unemployed](#), underemployed and informal workers
- Relationship between the labour force, labour force participation rate, unemployment rate and [labour force underutilisation rate](#) $\left(\frac{\text{unemployed} + \text{underemployed}}{\text{labour force}} \times 100 \right)$
- Economic and social effects of unemployment and underemployment
- Reasons for trends in employment and unemployment in Australia
- Interpret and analyse unemployment and employment data through tables, time series line graphs, column charts and bar charts

Inflation

- Distinctions between [inflation](#), [deflation](#), [disinflation](#) and [stagflation](#)
- Measurement of inflation from the [consumer price index \(CPI\)](#) using the formula

$$\frac{\text{CPI current} - \text{CPI previous}}{\text{CPI previous}} \times 100$$
- Distinction between the headline inflation rate and [underlying inflation rate](#)
- Types and causes of inflation, including [demand-pull](#), [cost-push](#), [inflationary expectations](#), [imported inflation](#)
- Interpret aggregate demand and supply graphs that demonstrate demand–pull inflation and cost–push inflation
- Relationship between inflation, unemployment and potential output
- Negative effects of high inflation and deflation on households, businesses, the government and the economy
- Reasons for trends in inflation and the cost of living in Australia
- Interpret and analyse inflation data through tables, time series line graphs, column charts and bar charts

Inequality

- Relationship between income and wealth
- Types of economic inequality, including income, wealth and opportunity

- Interpret income and wealth inequality using the [Lorenz curve](#), [Gini coefficient](#), [Palma ratio](#)
- Cycle of poverty, intergenerational income mobility and the extent of [relative poverty](#) in Australia, based on the proportion of population below the Organisation for Economic Co-operation and Development (OECD) poverty line
- Causes of economic inequality, including educational disparities, asset price inflation, wealth transfers, structural changes to the economy and government policies
- Factors contributing to inequities in health and housing outcomes in Australia
- Features of the gender pay gap, including wage disparity, [occupational segregation](#), [promotion gaps](#), the motherhood penalty and fatherhood premium
- Reasons for economic inequality disproportionately affecting [Aboriginal and Torres Strait Islander Peoples](#)
- Effects of economic inequality in Australia
- Reasons for trends in inequality in Australia
- Interpret and analyse inequality data through tables and scatterplot charts, including the relationship between inequality and socio-economic outcomes

Environmental sustainability

- Role of the natural environment in the economy, including the provision of natural resources, [ecosystem services](#) and amenities
- Types of environmental issues arising from inefficient resource use, including the depletion of [non-renewable resources](#), overexploitation of renewable resources, overproduction of waste and climate change
- Measurement of environmental sustainability, including greenhouse gas emissions and ecological footprint
- Intergenerational equity and its relationship to environmental degradation
- Environmental impacts of [market failure](#), including negative [externalities](#) related to overproduction caused by undefined property rights and positive externalities related to underproduction of environmental goods
- Interpret demand and supply graphs relating to the natural environment that demonstrate negative externalities from production and positive externalities from consumption
- Economic costs of climate change to the Australian economy
- Reasons for trends in greenhouse gas emissions in Australia
- Interpret and analyse environmental sustainability data through tables, time series line graphs, column charts, bar charts and scatterplot charts, including the relationship between the natural environment and production

Economic management of the Australian economy

Outcomes

A student:

- applies economic terms, concepts and principles in a range of contexts **ECO-12-01**
- analyses the economic role of individuals, businesses, institutions and government **ECO-12-02**
- explains the role and effects of markets in the Australian and global economy **ECO-12-03**
- analyses the causes of economic issues and their consequences for individuals, businesses, government and the economy **ECO-12-04**
- assesses the perspectives of individuals, businesses, institutions and government on a range of economic issues **ECO-12-05**
- evaluates the effectiveness of economic policies used to manage issues in the Australian and global economy **ECO-12-06**
- proposes and justifies policy measures to address economic issues in actual or hypothetical contexts **ECO-12-07**
- analyses data for patterns and relationships to make predictions and support economic arguments and decision-making **ECO-12-08**
- applies mathematical concepts, formulas and techniques in economic contexts **ECO-12-09**
- communicates economic ideas, perspectives and information in a range of forms appropriate to purpose and audience **ECO-12-10**

Content

Economic objectives

- Economic objectives of the Australian Government, including higher quality of life, [economic growth](#), [full employment](#), [price stability](#), equitable distribution of income and wealth, and environmental sustainability
- Constraints on the government's ability to simultaneously achieve economic objectives

Fiscal policy

- [Fiscal policy](#) as a [macroeconomic](#), demand-side, counter-cyclical tool for economic management
- [Budget outcomes](#), including balanced, surplus and deficit
- [Fiscal stance](#), including neutral, contractionary and expansionary
- Identify budget outcomes and fiscal stance
- Discretionary (structural) and non-discretionary (cyclical) components of the budget
- Limitations of financing a budget deficit through debt financing, [monetary financing](#) and asset sales, including servicing costs, the [crowding-out effect](#), [inflation](#) and loss of future revenue
- Construct and interpret a loanable funds graph to demonstrate the crowding-out effect
- Uses of a budget surplus, including contributing to [sovereign investment funds](#) and retiring Australian Government debt
- Effects of the budget on the stabilisation of the [business cycle](#), including [automatic stabilisers](#) and discretionary adjustments to government expenditure and taxation, especially during significant economic downturns
- Effects of the budget on the redistribution of income and wealth, including progressive, regressive and proportional taxation, [bracket creep](#) and welfare spending
- Effects of the budget on the reallocation of resources between industries in the economy
- Effects of budget outcomes and fiscal stances on Australian Government debt and [fiscal sustainability](#), including Australian Government debt as a proportion of [GDP](#)

- Effectiveness of fiscal policy in achieving Australia's economic objectives, including reference to relevant data
- Limitations to the effectiveness of fiscal policy, including policy lags, political considerations, global influences, the relative size of Australian Government debt and credit ratings

Monetary policy

- [Monetary policy](#) as a macroeconomic, demand-side, counter-cyclical tool for economic management
- Economic objectives of the Reserve Bank of Australia (RBA), including price stability and full employment, and the role of monetary policy in achieving these objectives
- Features of the [inflation target](#), including flexibility and its role in anchoring inflation expectations
- Role of the RBA's Monetary Policy Board and factors influencing its decisions on setting the target cash rate
- Effects of monetary policy on the economy, including the saving and investment channel, cash-flow channel, asset price and wealth channel and [exchange rate](#) channel
- Rationale for using unconventional monetary policy
- Effectiveness of monetary policy in achieving the RBA's economic objectives of price stability and full employment, including reference to relevant data
- Limitations to the effectiveness of monetary policy, including policy lags, the zero lower bound and inability to target specific areas of the economy

Microeconomic policy

- Role and nature of [microeconomic](#) policies, including raising [productivity](#) and improving outcomes on social issues to enhance quality of life
- Microeconomic reform to improve productivity in Australia in the areas of competition policy, regulation and deregulation, infrastructure development and taxation
- Microeconomic policies to reduce inequality and improve wellbeing in the areas of health and housing in Australia
- Effects of microeconomic policies on households, businesses, the government and the economy
- Effectiveness of microeconomic policies in achieving Australia's economic objectives
- Limitations to the effectiveness of microeconomic policies, including policy lags, political considerations and [regulatory capture](#)

Labour market policy

- Features of main wage-setting mechanisms in Australia, including individual arrangements, enterprise bargaining agreements and industry awards
- Advantages and disadvantages of centralised and decentralised wage determination
- Costs and benefits of [non-standard work arrangements](#) for individuals, businesses and the economy
- Purpose of the industrial safety net, including the minimum wage
- Effects of changes in union representation on bargaining power and wages in Australia
- Role of education and training funding and migration policy to improve the size and skills of the Australian workforce
- Effectiveness of labour market policies in achieving Australia's economic objectives
- Limitations to the effectiveness of labour market policies, including policy lags and political considerations

Environmental policy

- Role of [Aboriginal and Torres Strait Islander Peoples'](#) land and water management Practices in economic environmental policy, including caring for [Country](#)
- Environmental [command-and-control instruments](#), including bans, restrictions, [efficiency standards](#) and [technical specifications](#) for products
- Environmental market-based instruments, including price-based instruments (taxes and [subsidies](#)) and quantity-based instruments (permit schemes)
- Identify the optimal size of a tax on producers from a negative [externalities](#) graph
- Advantages and disadvantages of market-based instruments relative to command-and-control instruments
- Role of Australia's international agreements and national targets for greenhouse gas emissions, including the extent of their influence on domestic government policy
- Effectiveness of Australia's policies in achieving greenhouse gas emission targets
- Limitations to the effectiveness of environmental policies, including policy lags, political considerations, global free riders and carbon leakage

Policy mix

- Need for a coordinated mix of macroeconomic and microeconomic policies to achieve Australia's short-term and longer-term economic objectives and to respond effectively to [economic shocks](#)
- Propose and evaluate policy options to achieve the economic objectives of higher quality of life, economic growth, full employment, price stability, equitable distribution of income and environmental sustainability in hypothetical and contemporary Australian contexts

Australia and the global economy

Outcomes

A student:

- applies economic terms, concepts and principles in a range of contexts **ECO-12-01**
- analyses the economic role of individuals, businesses, institutions and government **ECO-12-02**
- explains the role and effects of markets in the Australian and global economy **ECO-12-03**
- analyses the causes of economic issues and their consequences for individuals, businesses, government and the economy **ECO-12-04**
- evaluates the effectiveness of economic policies used to manage issues in the Australian and global economy **ECO-12-06**
- proposes and justifies policy measures to address economic issues in actual or hypothetical contexts **ECO-12-07**
- analyses data for patterns and relationships to make predictions and support economic arguments and decision-making **ECO-12-08**
- applies mathematical concepts, formulas and techniques in economic contexts **ECO-12-09**
- communicates economic ideas, perspectives and information in a range of forms appropriate to purpose and audience **ECO-12-10**

Content

Global trade

- Principles of [absolute advantage](#) and [comparative advantage](#)
- Identify comparative advantage for output from tables and production possibility frontiers (PPF)
- Benefits of [free trade](#), including greater access to resources, [specialisation](#), development of [economies of scale](#), increased competition, lower prices, wider choice, higher living standards
- Costs and benefits of global [supply](#) chains
- Arguments for [trade protection](#), including supporting domestic employment in specific industries, shielding [infant industries](#), enabling self-sufficiency in strategic industries and preventing [dumping](#)
- Methods of protection, including [tariffs](#), [quotas](#), [subsidies](#) and [local content requirements](#)
- Effects of trade protection on domestic and global economies
- Identify the effects of tariffs on import-competing domestic markets, including size of the tariff, government revenue, total consumer spending, domestic producer revenue, quantity of imports and foreign producer revenue
- Identify the effects of quotas on import-competing domestic markets, including size of the quotas, total consumer spending, domestic producer revenue and foreign producer revenue
- Identify the effects of production subsidies on import-competing domestic markets, including the size of the subsidies, total consumer spending, domestic producer revenue, cost to government and foreign producer revenue
- Interpret [demand](#) and supply graphs that demonstrate the effects of tariffs, quotas and subsidies on import-competing domestic markets
- Interpret demand and supply graphs that demonstrate the effects of export subsidies on the world market, where world price equals equilibrium price
- Arguments for and against the use of bilateral and multilateral trade agreements, including [regional trading blocs](#)
- Role and effectiveness of the World Trade Organization (WTO) in facilitating [multilateral free trade agreements](#) and resolving trade disputes between member states
- Reasons for major trends in global trade and protectionism

- Extent to which Australian Government policies promote free trade

Global investment

- Types of international investment flows, including [foreign direct investment \(FDI\)](#) and [portfolio investment](#)
- Costs and benefits of FDI and [transnational corporations](#) to the global economy
- Costs and benefits of international portfolio investment to the global economy, including [liquidity](#), access to [capital](#), volatility and financial crisis contagion
- Role and effectiveness of the International Monetary Fund (IMF) in maintaining international financial stability

Exchange rates

- Features of Australia's [floating exchange rate system](#), including [currency appreciation and depreciation](#)
- Construct and interpret demand and supply graphs to demonstrate how the value of a currency is determined under a floating exchange rate system
- Reserve Bank of Australia's (RBA) intervention in foreign exchange markets to affect the value of the Australian dollar during periods of significant market disorder
- Domestic and global factors affecting demand and supply of the Australian dollar
- Effects of [exchange rate](#) movements on households, businesses, the government and the Australian economy
- Reasons for major trends in the value of the Australian dollar

International economic development

- Features of [economic development](#), including economic structure, education, health and sustainability
- Relationship between [economic growth](#) and economic development, and the importance of inclusive and sustainable growth to long-term wellbeing
- Measures of economic development, including the Human Development Index (HDI) and [GDP](#) adjusted for a common currency, differences in population and [purchasing power parity \(PPP\)](#)
- Characteristics of different types of economies, including least developed countries, [developing countries](#), [emerging economies](#) and [advanced economies](#)
- Factors contributing to differences in economic development between countries, including strength of institutions, geography and natural resource endowment, quality of human capital and infrastructure
- Global equity issues from the uneven distribution of economic costs associated with climate change
- Effects of international economic development on the level and geographical distribution of [absolute poverty](#) in the global economy
- Role and effectiveness of the World Bank Group (WBG) in achieving economic development in developing countries

Impacts of the global economy on Australia

- Factors contributing to the vulnerability of the Australian economy to fluctuations in regional and [international business cycles](#)
- Factors contributing to the resilience of the Australian economy against [external shocks](#)
- Effects of changes in the global economy on the performance and structure of Australia's economy